

**JOCHU TECHNOLOGY CO., LTD. AND
SUBSIDIARIES
CONSOLIDATED FINANCIAL STATEMENTS AND
INDEPENDENT AUDITORS' REVIEW REPORT
MARCH 31, 2023 AND 2022**

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REVIEW REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Introduction

We have reviewed the accompanying consolidated balance sheet of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the “Group”) as at March 31, 2023 and 2022, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the three months then ended, and notes to the consolidated financial statements, including a summary of significant accounting policies. Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the Financial Supervisory Commission. Our responsibility is to express a conclusion on these consolidated financial statements based on our reviews.

Scope of Review

We conducted our reviews in accordance with the Standard on Review Engagements 2410, “Review of Financial Information Performed by the Independent Auditor of the Entity” of the Republic of China. A review of consolidated financial statements consists of making inquiries, primarily of persons responsible for financial and accounting matters, and applying analytical and other review procedures. A review is substantially less in scope than an audit and consequently does not enable us to obtain assurance that we would become aware of all significant matters that might be identified in an audit. Accordingly, we do not express an audit opinion.

Conclusion

Based on our reviews, nothing has come to our attention that causes us to believe that the accompanying consolidated financial statements do not present fairly, in all material respects, the consolidated financial position of the Group as at March 31, 2023 and 2022, and of its consolidated financial performance and its consolidated cash flows for the three months then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the Financial Supervisory Commission.

Liao, Fu-Ming

For and on Behalf of PricewaterhouseCoopers, Taiwan

May 11, 2023

Hsu, Sheng-Chung

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors’ report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
MARCH 31, 2023, DECEMBER 31, 2022 AND MARCH 31, 2022

(Expressed in thousands of New Taiwan dollars)

(The consolidated balance sheets as of March 31, 2023 and 2022 are reviewed, not audited)

Assets			March 31, 2023		December 31, 2022		March 31, 2022	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current assets								
1100	Cash and cash equivalents	6(1)	\$ 1,679,297	37	\$ 1,711,918	37	\$ 1,644,291	33
1110	Financial assets at fair value	6(2)						
	through profit or loss - current		3,138	-	2,475	-	7,331	-
1136	Financial assets at amortised cost -	6(4) and 8						
	current		2,216	-	53,788	1	177,489	4
1150	Notes receivable, net	6(5)	29,139	1	29,661	1	15,872	-
1170	Accounts receivable, net	6(5)	966,680	21	1,004,102	22	1,166,290	23
1180	Accounts receivable - related	7						
	parties, net		-	-	-	-	2,401	-
1200	Other receivables		118,643	3	117,267	3	134,588	3
1220	Current income tax assets		56,237	1	56,142	1	55,981	1
130X	Inventories	6(6)	221,498	5	252,863	6	284,930	6
1410	Prepayments		12,563	-	11,796	-	111,999	2
1470	Other current assets		22,619	1	25,468	1	32,802	1
11XX	Total current assets		3,112,030	69	3,265,480	72	3,633,974	73
Non-current assets								
1510	Non-current financial assets at fair	6(2)						
	value through profit or loss		13,423	-	12,460	-	-	-
1517	Financial assets at fair value	6(3)						
	through other comprehensive							
	income - non-current		3,045	-	3,071	-	2,862	-
1535	Financial assets at amortised cost -	6(4) and 8						
	non-current		400	-	403	-	384	-
1550	Investments accounted for under	6(7)						
	equity method		-	-	8,442	-	11,515	-
1600	Property, plant and equipment	6(8) and 8	1,091,630	24	1,080,855	24	1,136,538	23
1755	Right-of-use assets	6(9) and 7	135,269	3	92,397	2	100,012	2
1780	Intangible assets	6(28)	55,154	1	-	-	-	-
1840	Deferred income tax assets		48,994	1	51,093	1	49,106	1
1975	Net defined benefit asset - non-							
	current		10,034	-	9,999	-	8,172	-
1990	Other non-current assets	8	69,128	2	51,872	1	35,734	1
15XX	Total non-current assets		1,427,077	31	1,310,592	28	1,344,323	27
1XXX	Total assets		\$ 4,539,107	100	\$ 4,576,072	100	\$ 4,978,297	100

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
MARCH 31, 2023, DECEMBER 31, 2022 AND MARCH 31, 2022
(Expressed in thousands of New Taiwan dollars)

(The consolidated balance sheets as of March 31, 2023 and 2022 are reviewed, not audited)

Liabilities and Equity		Notes	March 31, 2023		December 31, 2022		March 31, 2022	
			AMOUNT	%	AMOUNT	%	AMOUNT	%
Current liabilities								
2100	Short-term borrowings	6(10)	\$ 40,000	1	\$ 55,000	1	\$ 180,000	4
2120	Current financial liabilities at fair value through profit or loss	6(2)	919	-	5,447	-	-	-
2130	Contract liabilities - current	6(19) and 7	234	-	3,187	-	6,676	-
2150	Notes payable		50	-	-	-	2,992	-
2170	Accounts payable	6(11)	445,866	10	481,009	11	493,408	10
2180	Accounts payable to related parties		-	-	14	-	-	-
2200	Other payables	6(12)	241,415	5	266,136	6	301,600	6
2220	Other payables to related parties	7	138	-	270	-	-	-
2230	Current income tax liabilities		13,011	-	42,745	1	27,761	1
2280	Lease liabilities - current	7	21,482	-	3,585	-	7,504	-
2320	Long-term borrowings - current	6(13)	67,966	2	61,800	1	38,586	1
2399	Other current liabilities		3,018	-	3,303	-	2,420	-
21XX	Total current liabilities		834,099	18	922,496	20	1,060,947	22
Non-current liabilities								
2540	Long-term borrowings	6(13)	401,092	9	407,200	9	456,500	9
2570	Deferred income tax liabilities		308,561	7	293,604	7	351,042	7
2580	Lease liabilities - non-current	7	35,726	1	6,503	-	14,657	-
2600	Other non-current liabilities		5,555	-	5,340	-	5,822	-
25XX	Total non-current liabilities		750,934	17	712,647	16	828,021	16
2XXX	Total liabilities		1,585,033	35	1,635,143	36	1,888,968	38
Equity								
Equity attributable to owners of the parent								
Share capital								
3110	Ordinary share	6(15)	892,631	20	892,631	20	892,631	18
Capital surplus								
3200	Capital surplus	6(16)	1,728,746	38	1,728,746	38	1,728,746	35
Retained earnings								
3310	Legal reserve	6(17)	143,906	3	143,906	3	126,142	2
3320	Special reserve		423,294	9	423,294	9	385,192	8
3350	(Accumulated deficit)							
	unappropriated retained earnings		(64,938)	(1)	(32,785)	(1)	138,262	3
Other equity interest								
3400	Other equity interest	6(18)	(327,214)	(7)	(362,836)	(8)	(326,178)	(7)
31XX	Equity attributable to owners of the parent		2,796,425	62	2,792,956	61	2,944,795	59
36XX	Non-controlling interests		157,649	3	147,973	3	144,534	3
3XXX	Total equity		2,954,074	65	2,940,929	64	3,089,329	62
Significant contingent liabilities and unrecognised contract commitments								
Significant events after the balance sheet date								
3X2X	Total liabilities and equity		\$ 4,539,107	100	\$ 4,576,072	100	\$ 4,978,297	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
THREE MONTHS ENDED MARCH 31, 2023 AND 2022

(Expressed in thousands of New Taiwan dollars, except for (loss) earnings per share amount)
(UNAUDITED)

Items		Notes	Three months ended March 31			
			2023		2022	
			AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(19) and 7	\$ 696,557	100	\$ 826,223	100
5000	Operating costs	6(6)(24)(25)	(579,861)	(83)	(761,948)	(92)
5900	Gross profit		116,696	17	64,275	8
	Operating expenses	6(24)(25)				
6100	Selling and marketing expenses		(24,525)	(4)	(25,367)	(3)
6200	General and administrative expenses		(76,577)	(11)	(65,107)	(8)
6300	Research and development expenses		(9,875)	(1)	(8,742)	(1)
6450	Expected credit loss(gain)	12(2)	(433)	-	75	-
6000	Total operating expenses		(111,410)	(16)	(99,141)	(12)
6900	Net operating (loss) profit		5,286	1	(34,866)	(4)
	Non-operating income and expenses					
7100	Interest income	6(20)	7,470	1	5,484	-
7010	Other income	6(21)	2,249	-	1,706	-
7020	Other gains and losses	6(22)	547	-	(183)	-
7050	Finance costs	6(23) and 7	(2,606)	-	(2,535)	-
7060	Share of loss of associates accounted for under equity method	6(7)	(1,757)	-	(185)	-
7000	Total non-operating income and expenses		5,903	1	4,287	-
7900	Profit (loss) before income tax		11,189	2	(30,579)	(4)
7950	Income tax expense	6(26)	(25,646)	(4)	(11,853)	(1)
8200	Loss for the year		(\$ 14,457)	(2)	(\$ 42,432)	(5)

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
THREE MONTHS ENDED MARCH 31, 2023 AND 2022

(Expressed in thousands of New Taiwan dollars, except for (loss) earnings per share amount)
(UNAUDITED)

Items	Notes	Three months ended March 31			
		2023		2022	
		AMOUNT	%	AMOUNT	%
Other comprehensive income (loss)					
Components of other comprehensive income (loss) that will not be reclassified to profit or loss					
8316 Unrealised losses from investments in equity instruments measured at fair value through other comprehensive income	6(3)	\$ 7,906	1	\$ -	-
Components of other comprehensive income (loss) that will be reclassified to profit or loss					
8361 Financial statements translation differences of foreign operations		6,237	1	102,195	12
8300 Other comprehensive income for the year		<u>\$ 14,143</u>	<u>2</u>	<u>\$ 102,195</u>	<u>12</u>
8500 Total comprehensive income (loss) for the year		<u>(\$ 314)</u>	<u>-</u>	<u>\$ 59,763</u>	<u>7</u>
Loss attributable to:					
8610 Owners of the parent		(\$ 11,859)	(2)	(\$ 39,386)	(5)
8620 Non-controlling interests		(2,598)	-	(3,046)	-
		<u>(\$ 14,457)</u>	<u>(2)</u>	<u>(\$ 42,432)</u>	<u>(5)</u>
Comprehensive income (loss) attributable to:					
8710 Owners of the parent		\$ 3,469	-	\$ 57,729	7
8720 Non-controlling interests		(3,783)	-	2,034	-
		<u>(\$ 314)</u>	<u>-</u>	<u>\$ 59,763</u>	<u>7</u>
Loss per share (in dollars)	6(27)				
9750 Basic per share		<u>(\$ 0.13)</u>		<u>(\$ 0.44)</u>	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
THREE MONTHS ENDED MARCH 31, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

		Equity attributable to owners of the parent									
		Retained Earnings					Other equity interest				
					(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealised losses from financial assets at fair value through other comprehensive income				
Notes	Share capital ordinary share	Capital surplus	Legal reserve	Special reserve				Total	Non-controlling interests	Total equity	
<u>Three months ended March 31, 2022</u>											
	\$ 892,631	\$ 1,728,746	\$ 126,142	\$ 385,192	\$ 177,648	(\$ 395,093)	(\$ 28,200)	\$ 2,887,066	\$ 142,500	\$ 3,029,566	
	-	-	-	-	(39,386)	-	-	(39,386)	(3,046)	(42,432)	
Other comprehensive income for the period	6(18)	-	-	-	-	97,115	-	97,115	5,080	102,195	
Total comprehensive income (loss) for the period		-	-	-	(39,386)	97,115	-	57,729	2,034	59,763	
Balance at March 31, 2022	\$ 892,631	\$ 1,728,746	\$ 126,142	\$ 385,192	\$ 138,262	(\$ 297,978)	(\$ 28,200)	\$ 2,944,795	\$ 144,534	\$ 3,089,329	
<u>Three months ended March 31, 2023</u>											
	\$ 892,631	\$ 1,728,746	\$ 143,906	\$ 423,294	(\$ 32,785)	(\$ 334,636)	(\$ 28,200)	\$ 2,792,956	\$ 147,973	\$ 2,940,929	
	-	-	-	-	(11,859)	-	-	(11,859)	(2,598)	(14,457)	
Other comprehensive income (loss) for the period	6(18)	-	-	-	-	7,422	7,906	15,328	(1,185)	14,143	
Total comprehensive income (loss) for the period		-	-	-	(11,859)	7,422	7,906	3,469	(3,783)	314	
Disposal of equity instrument at fair value through other comprehensive income (loss)	6(3)	-	-	-	(20,294)	-	20,294	-	-	-	
Non-controlling interests	6(28)	-	-	-	-	-	-	-	13,459	13,459	
Balance at March 31, 2023	\$ 892,631	\$ 1,728,746	\$ 143,906	\$ 423,294	(\$ 64,938)	(\$ 327,214)	\$ -	\$ 2,796,425	\$ 157,649	\$ 2,954,074	

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
THREE MONTHS ENDED MARCH 31, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

	Notes	Three months ended March 31	
		2023	2022
CASH FLOWS FROM OPERATING ACTIVITIES			
Profit (loss) before tax		\$ 11,189	(\$ 30,579)
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(8)(24)	30,520	30,521
Depreciation charges on right-of-use assets	6(9)(24)	7,378	7,463
Expected credit loss (gain)	12(2)	433	(75)
Amortisation charges	6(24)	2,579	3,203
Interest income	6(20)	(7,470)	(5,484)
Gain on disposal of property, plant, and equipment	6(22)	(3,848)	-
Gain on disposal of associates accounted for under equity method	6(7)(22)	(3,542)	-
Gain on lease modification	6(22)	-	(211)
Gain on financial assets and liabilities at fair value through profit or loss	6(2)(22)	(4,256)	(4,903)
Interest expense	6(23)	2,606	2,535
Share of loss of associates accounted for under equity method	6(7)	1,757	185
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable		644	8,206
Accounts receivable		41,122	(11,289)
Accounts receivable to related parties		-	(2,401)
Other receivables	(	4,536)	7,728
Inventories		34,991	13,844
Other current assets		8,728	8,586
Net defined benefit asset	(	35)	(13)
Changes in operating liabilities			
Contract liabilities - current	(	2,900)	6,174
Notes payable		50	2,992
Accounts payable	(	36,967)	(96,080)
Accounts payable to related parties	(	14)	-
Other payables	(	35,598)	(64,194)
Other payables to related parties	(	132)	-
Other current liabilities	(	361)	196
Other non-current liabilities		213	239
Cash inflow (outflow) generated from operations		42,551	(123,357)
Interest received		11,582	9,513
Interest paid	(	2,287)	(2,334)
Income tax paid	(	38,854)	(5,107)
Net cash flows from (used in) operating activities		12,992	(121,285)

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
THREE MONTHS ENDED MARCH 31, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars)
(UNAUDITED)

	<u>Notes</u>	<u>Three months ended March 31</u>	
		<u>2023</u>	<u>2022</u>
<u>CASH FLOWS FROM INVESTING ACTIVITIES</u>			
Acquisition of financial assets at amortised cost		(\$ 444)	(\$ 140,000)
Proceeds from disposal of financial assets at amortised cost		51,475	223,325
Acquisition of financial assets at fair value through profit or loss		(5,218)	-
Disposal of financial assets at fair value through profit or loss		3,271	11,229
Disposal of financial assets at fair value through other comprehensive income (loss) – equity instruments		7,906	-
The acquisition of subsidiaries (net of cash acquired)		(31,771)	-
Acquisition of property, plant, and equipment	6(29)	(28,177)	(34,096)
Disposal of property, plant, and equipment		3,848	-
(Increase) decrease in guarantee deposits paid		651	(2,663)
Increase in prepayments for equipment		(17,371)	(10,852)
Net cash flows from investing activities		(15,830)	46,943
<u>CASH FLOWS FROM FINANCING ACTIVITIES</u>			
Proceeds from short-term borrowings		150,000	315,000
Repayments of short-term borrowings		(165,000)	(430,000)
Repayments of long-term borrowings	6(30)	(12,500)	(14,285)
Payments of lease liabilities	6(30)	(4,148)	(7,260)
Net cash flows used in financing activities		(31,648)	(136,545)
Effect of exchange rate changes on cash and cash equivalents		1,865	71,511
Net decrease in cash and cash equivalents		(32,621)	(139,376)
Cash and cash equivalents at beginning of period		1,711,918	1,783,667
Cash and cash equivalents at end of period		\$ 1,679,297	\$ 1,644,291

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE THREE MONTHS ENDED MARCH 31, 2023 AND 2022
(Expressed in thousands of New Taiwan dollars, except as otherwise indicated)
(UNAUDITED)

1. History and Organization

Jochu Technology Co., Ltd. (the “Company”) was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the “Group”) are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. (“Yourui”) and Jingrong Machinery Co., Ltd. (“Jingrong”), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorisation for Issuance of the Financial Statements and Procedures for Authorisation

These consolidated financial statements were authorised for issuance by the Board of Directors on May 11, 2023.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards (“IFRS”) that came into effect as endorsed by the Financial Supervisory Commission (“FSC”)

New standards, interpretations and amendments endorsed by the FSC and became effective from 2023 are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by International Accounting Standards Board</u>
Amendments to IAS 1, ‘Disclosure of accounting policies’	January 1, 2023
Amendments to IAS 8, ‘Definition of accounting estimates’	January 1, 2023
Amendments to IAS 12, ‘Deferred tax related to assets and liabilities arising from a single transaction’	January 1, 2023

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

None.

(3) IFRSs issued by International Accounting Standards Board (“IASB”) but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

<u>New Standards, Interpretations and Amendments</u>	<u>Effective date by IASB</u>
Amendments to IFRS 10 and IAS 28, ‘Sale or contribution of assets between an investor and its associate or joint venture’	To be determined by IASB
Amendments to IFRS 16, ‘Lease liability in a sale and leaseback’	January 1, 2024
IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendments to IFRS 17, ‘Insurance contracts’	January 1, 2023
Amendment to IFRS 17, ‘Initial application of IFRS 17 and IFRS 9 – comparative information’	January 1, 2023
Amendments to IAS 1, ‘Classification of liabilities as current or non-current’	January 1, 2024
Amendments to IAS 1, ‘Non-current liabilities with covenants’	January 1, 2024

The above standards and interpretations have no significant impact to the Group’s financial condition and financial performance based on the Group’s assessment.

4. Summary of Significant Accounting Policies

Except for the compliance statement, basis of preparation and basis of consolidation set out below, the rest of the significant accounting policies applied in the preparation of these consolidated financial statements are the same as those disclosed in Note 4 to the consolidated financial statements as of and for the year ended December 31, 2022. The policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

- A. These consolidated financial statements of the Group have been prepared in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Accounting Standard 34, “Interim Financial Reporting” that came into effect as endorsed by the FSC.
- B. These consolidated financial statements are to be read in conjunction together with the consolidated financial statements for the year ended December 31, 2022.

(2) Basis of preparation

- A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:
 - (a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.
 - (b) Financial assets at fair value through other comprehensive income.
 - (c) Defined benefit assets recognised based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the “IFRSs”) requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group’s accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements:

The basis for preparation of these consolidated financial statements is the same as that for the preparation of the consolidated financial statements for the year ended December 31, 2022.

B. Subsidiaries included in the consolidated financial statements:

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			March 31, 2023	December 31, 2023	March 31, 2022	
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	52.02%	9.81%	9.81%	Note
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%)			Description
			March 31, 2023	December 31, 2023	March 31, 2022	
JOCHU BVI	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	65%	
eBio International	eBio technology Inc.	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	100%	Note
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	100%	
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	66.67%	
PIH	JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	100%	
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	33.33%	

Note : On February 17, 2023, the company's Board of Directors resolved to increase investment in eBio International. This was achieved by purchasing shares from existing shareholders of eBio International and participating in the cash increase of eBio International. In the first quarter of 2023, the company's stake in eBio International increased from 9.81% to 52.02%, thereby gaining control over eBio International and its subsidiaries.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

(4) Property, plant and equipment

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets' residual values and useful lives differ from previous estimates or the patterns of consumption of the assets' future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, 'Accounting Policies, Changes in Accounting Estimates and Errors', from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	5 years ~ 36 years
Machinery and equipment	3 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	2 years ~ 6 years
Leasehold improvements	5 years
Other equipment	3 years ~ 6 years

(5) Intangible assets

A. Trademarks

Separately acquired trademarks are stated at historical cost. Trademarks acquired in a business combination are recognised at fair value at the acquisition date. Trademarks have a finite useful life and are amortised on a straight-line basis over their estimated useful lives of 8.25 years.

B. Goodwill

Goodwill arises in a business combination accounted for by applying the acquisition method.

C. Other intangible assets, mainly patents, are amortised on a straight-line basis over their estimated useful lives of 20 years.

(6) Intangible assets

A. The recoverable amounts of goodwill, intangible assets with an indefinite useful life and intangible assets that have not yet been available for use are evaluated periodically. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognised in profit or loss shall not be reversed in the following years

B. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units, or groups of cash-generating units, that is/are expected to

benefit from the synergies of the business combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

(7) Income tax

- A. The interim period income tax expense is recognised based on the estimated average annual effective income tax rate expected for the full financial year applied to the pretax income of the interim period, and the related information is disclosed accordingly.
- B. If a change in tax rate is enacted or substantively enacted in an interim period, the Group recognises the effect of the change immediately in the interim period in which the change occurs. The effect of the change on items recognised outside profit or loss is recognised in other comprehensive income or equity while the effect of the change on items recognised in profit or loss is recognised in profit or loss.

(8) Business combination

- A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments proportionate share in the recognised amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.
- B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquiree recognised and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognised directly in profit or loss on the acquisition date.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The additional disclosures are set out below. For the rest of the information, please refer to Note 5 in the consolidated financial statements for the year ended December 31, 2022.

(1) Critical judgments in applying the Group's accounting policies

None.

(2) Critical accounting estimates and assumptions

Fair value assessment of goodwill and identifiable assets

The assessment of goodwill relies on the subjective judgment of the Group, including the identification of cash-generating units and the allocation of assets, liabilities, and goodwill to the respective cash-generating units, as well as the determination of the fair value of identifiable assets acquired in business combinations. The fair value assessment of goodwill and identifiable assets is subject to retrospective adjustments pending the receipt of expert valuation reports, as stated in Note 6 (28).

6. Details of Significant Accounts

(1) Cash and cash equivalents

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Cash on hand and petty cash	\$ 534	\$ 329	\$ 503
Checking accounts and demand deposits	332,318	348,249	345,465
Time deposits	<u>1,346,445</u>	<u>1,363,340</u>	<u>1,298,323</u>
	<u>\$ 1,679,297</u>	<u>\$ 1,711,918</u>	<u>\$ 1,644,291</u>

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets and liabilities at fair value through profit or loss

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ <u>3,138</u>	\$ <u>2,475</u>	\$ <u>7,331</u>
Non-current items:			
Financial assets mandatorily measured at fair value through profit or loss			
Private equity fund	\$ 12,000	\$ 12,000	\$ -
Valuation adjustment	<u>1,423</u>	<u>460</u>	<u>-</u>
	<u>\$ 13,423</u>	<u>\$ 12,460</u>	<u>\$ -</u>
Current items:			
Financial liabilities mandatorily measured at fair value through profit or loss			
Forward foreign exchange contracts	\$ <u>919</u>	\$ <u>5,447</u>	\$ <u>-</u>

A. Amounts recognised in profit or loss in relation to financial assets and liabilities at fair value through profit or loss are listed below:

	<u>Three months ended March 31,</u>	
	<u>2023</u>	<u>2022</u>
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	\$ 3,293	\$ 4,903
Private equity fund	<u>963</u>	<u>-</u>
	<u>\$ 4,256</u>	<u>\$ 4,903</u>

- B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

March 31, 2023			
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date	
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD 11,610	2023.04.01~2023.10.27	
Sell USD Buy NTD	USD 3,810	2023.04.10~2023.06.09	
December 31, 2022			
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date	
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD 13,870	2023.01.01~2023.07.26	
Sell USD Buy NTD	USD 3,810	2023.01.10~2023.03.10	
March 31,2022			
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date	
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD 19,500	2022.04.26~2022.12.28	
Sell USD Buy NTD	USD 2,580	2022.04.08~2022.05.10	

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

- C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.
- D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income (loss)

Items	March 31, 2023	December 31, 2022	March 31, 2022
Non-current items:			
Equity instruments			
Unlisted stocks			
W Company	\$ 3,045	\$ 3,071	\$ 2,862
I Company	-	28,200	28,200
	3,045	31,271	31,062
Valuation adjustment	-	(28,200)	(28,200)
	<u>\$ 3,045</u>	<u>\$ 3,071</u>	<u>\$ 2,862</u>

- A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at March 31, 2023, December 31, 2022 and March 31, 2022, the fair value of such investments were the same as the book value.
- B. Amounts recognised in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	Three months ended March 31,	
	2023	2022
Equity instruments at fair value through other comprehensive income (loss)		
Fair value changes recognized in other comprehensive income	\$ 7,906	\$ -
Cumulative losses reclassified to retained earnings due to derecognition of financial assets	\$ 20,294	\$ -

- C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortised cost

Items	March 31, 2023	December 31, 2022	March 31, 2022
Current items:			
Restricted assets	\$ 2,216	\$ 1,764	\$ 12,705
Time deposits with original maturity period of more than three months	-	52,024	164,784
	<u>\$ 2,216</u>	<u>\$ 53,788</u>	<u>\$ 177,489</u>
Non-current item:			
Restricted assets	\$ 400	\$ 403	\$ 384

- A. Amounts recognised in profit or loss in relation to financial assets at amortised cost are listed below:

	Three months ended March 31,	
	2023	2022
Interest income	\$ 316	\$ 1,470

- B. As at March 31, 2023, December 31, 2022 and March 31, 2022, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortised cost held by the Group was the book value at the balance sheet date.
- C. Details of the Group's financial assets at amortised cost pledged to others as collateral are provided in Note 8.
- D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	March 31, 2023	December 31, 2022	March 31, 2022
Notes receivable	\$ 29,139	\$ 29,661	\$ 15,872
Accounts receivable	\$ 968,693	\$ 1,005,675	\$ 1,166,290
Less: Allowance for uncollectible accounts	(2,013)	(1,573)	-
	<u>\$ 966,680</u>	<u>\$ 1,004,102</u>	<u>\$ 1,166,290</u>

- A. As at March 31, 2023, December 31, 2022 and March 31, 2022, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2022, the balance of receivables from contracts with customers amounted to \$1,179,004.
- B. The ageing analysis of notes receivable and accounts receivable is as follows:

	March 31, 2023	
	Notes receivable	Accounts receivable
Not past due	\$ 29,139	\$ 929,778
Up to 90 days	-	36,930
Over 91 days	-	1,985
	<u>\$ 29,139</u>	<u>\$ 968,693</u>

	December 31, 2022		March 31, 2022	
	Notes	Accounts	Notes	Accounts
	receivable	receivable	receivable	receivable
Not past due	\$ 29,661	\$ 965,267	\$ 15,872	\$ 1,150,749
Up to 90 days	-	38,835	-	15,541
Over 91 days	-	1,573	-	-
	<u>\$ 29,661</u>	<u>\$ 1,005,675</u>	<u>\$ 15,872</u>	<u>\$ 1,166,290</u>

The above ageing analysis was based on past due date.

C. As at March 31, 2023, December 31, 2022 and March 31, 2022, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Inventories

	March 31, 2023	December 31, 2022	March 31, 2022
Raw materials	\$ 79,365	\$ 80,344	\$ 111,261
Work in progress	52,758	42,013	56,969
Finished goods	<u>146,750</u>	<u>187,379</u>	<u>162,451</u>
	278,873	309,736	330,681
Less: Allowance for valuation loss	(57,375)	(56,873)	(45,751)
	<u>\$ 221,498</u>	<u>\$ 252,863</u>	<u>\$ 284,930</u>

The cost of inventories recognised as expense for the year:

	Three months ended March 31,	
	2023	2022
Cost of inventories sold	\$ 593,856	\$ 771,344
Loss on decline in market value	(4,152)	8,886
Loss on disposal of inventory	5,038	4,861
Revenue from sale of scraps	(14,881)	(23,143)
	<u>\$ 579,861</u>	<u>\$ 761,948</u>

During the period from January 1 to March 31, 2023, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory

(7) Investments accounted for under equity method

	<u>2023</u>	<u>2022</u>
At January 1	\$ 8,442	\$ -
Addition of investments accounted for under equity method	-	11,700
Disposal of investments accounted for under equity method	(6,685)	-
Share of loss of investments accounted for under equity method	(1,757)	(185)
At March 31	<u>\$ -</u>	<u>\$ 11,515</u>

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Associate			
eBio International Co., Ltd.	<u>\$ -</u>	<u>\$ 8,442</u>	<u>\$ 11,515</u>

- A. The Company obtained a seat on the board of eBio International Co., Ltd. on February 14, 2022. As a result of the election, the Company hereafter has significant influence over eBio International Co., Ltd., and accordingly, the investment account was reclassified from financial assets at fair value through other comprehensive income to investments accounted for under equity method.
- B. The company acquired a portion of the equity of eBio International Co., Ltd. in February 2023 and participated in the cash increase of eBio International Co., Ltd. in March of the same year. As a result, the company's shareholding in eBio International Co., Ltd. increased from 9.81% to 52.02%, and the company obtained control over it. In accordance with IFRS 3 "Business Combinations," the previously held equity interest in eBio International Co., Ltd. was remeasured at fair value as of the acquisition date, resulting in a disposal gain of \$3,542, which was recognised in profit and loss.

(8) Property, plant and equipment

	2023								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 903,115	\$ 995,083	\$ 21,269	\$ 11,823	\$ 14,404	\$ 160,450	\$ 188,108	\$ 2,607,395
Accumulated depreciation	- (	492,718)	(822,822)	(18,862)	(10,610)	(11,436)	(140,471)	-	(1,496,919)
Accumulated impairment	- (	14,674)	(14,947)	-	-	-	-	-	(29,621)
	<u>\$ 313,143</u>	<u>\$ 395,723</u>	<u>\$ 157,314</u>	<u>\$ 2,407</u>	<u>\$ 1,213</u>	<u>\$ 2,968</u>	<u>\$ 19,979</u>	<u>\$ 188,108</u>	<u>\$ 1,080,855</u>
Opening net book amount as at January 1	\$ 313,143	\$ 395,723	\$ 157,314	\$ 2,407	\$ 1,213	\$ 2,968	\$ 19,979	\$ 188,108	\$ 1,080,855
Additions (including reclassifications)	-	15,719	1,139	1,100	-	-	14,464	4,243	36,665
Acquisition of business combination	-	-	3,321	-	461	-	1,478	-	5,260
Transfer	-	177,886	8,235	-	-	-	-	(186,121)	-
Depreciation charge	- (	11,219)	(14,855)	(450)	(202)	(291)	(3,503)	-	(30,520)
Net exchange differences	-	1,348	35	2	(1)	-	(38)	(1,976)	(630)
Closing net book amount as at March 31	<u>\$ 313,143</u>	<u>\$ 579,457</u>	<u>\$ 155,189</u>	<u>\$ 3,059</u>	<u>\$ 1,471</u>	<u>\$ 2,677</u>	<u>\$ 32,380</u>	<u>\$ 4,254</u>	<u>\$ 1,091,630</u>
At March 31									
Cost	\$ 313,143	\$ 1,093,919	\$ 960,807	\$ 22,371	\$ 13,156	\$ 14,404	\$ 176,959	\$ 4,254	\$ 2,599,013
Accumulated depreciation	- (	499,788)	(791,407)	(19,312)	(11,685)	(11,727)	(144,579)	-	(1,478,498)
Accumulated impairment	- (	14,674)	(14,211)	-	-	-	-	-	(28,885)
	<u>\$ 313,143</u>	<u>\$ 579,457</u>	<u>\$ 155,189</u>	<u>\$ 3,059</u>	<u>\$ 1,471</u>	<u>\$ 2,677</u>	<u>\$ 32,380</u>	<u>\$ 4,254</u>	<u>\$ 1,091,630</u>

	2022								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	\$ 313,143	\$ 897,491	\$ 934,963	\$ 21,443	\$ 10,850	\$ 13,533	\$ 142,503	\$ 167,384	\$ 2,501,310
Accumulated depreciation	- (	445,745)	(766,640)	(18,881)	(9,534)	(10,094)	(130,289)	-	(1,381,183)
Accumulated impairment	- (	14,674)	(4,038)	-	-	-	-	-	(18,712)
	<u>\$ 313,143</u>	<u>\$ 437,072</u>	<u>\$ 164,285</u>	<u>\$ 2,562</u>	<u>\$ 1,316</u>	<u>\$ 3,439</u>	<u>\$ 12,214</u>	<u>\$ 167,384</u>	<u>\$ 1,101,415</u>
Opening net book amount as at January 1	\$ 313,143	\$ 437,072	\$ 164,285	\$ 2,562	\$ 1,316	\$ 3,439	\$ 12,214	\$ 167,384	\$ 1,101,415
Additions (including reclassifications)	-	1,363	2,126	-	761	662	6,096	37,774	48,782
Depreciation charge	- (	11,889)	(15,332)	(400)	(279)	(327)	(2,294)	-	(30,521)
Net exchange differences	-	7,457	1,994	87	1	1	381	6,941	16,862
Closing net book amount as at March 31	<u>\$ 313,143</u>	<u>\$ 434,003</u>	<u>\$ 153,073</u>	<u>\$ 2,249</u>	<u>\$ 1,799</u>	<u>\$ 3,775</u>	<u>\$ 16,397</u>	<u>\$ 212,099</u>	<u>\$ 1,136,538</u>
At March 31									
Cost	\$ 313,143	\$ 911,147	\$ 960,973	\$ 22,073	\$ 11,732	\$ 14,196	\$ 150,693	\$ 212,099	\$ 2,596,056
Accumulated depreciation	- (	462,470)	(803,853)	(19,824)	(9,933)	(10,421)	(134,296)	-	(1,440,797)
Accumulated impairment	- (	14,674)	(4,047)	-	-	-	-	-	(18,721)
	<u>\$ 313,143</u>	<u>\$ 434,003</u>	<u>\$ 153,073</u>	<u>\$ 2,249</u>	<u>\$ 1,799</u>	<u>\$ 3,775</u>	<u>\$ 16,397</u>	<u>\$ 212,099</u>	<u>\$ 1,136,538</u>

- A. Amount of borrowing costs capitalised as part of property, plant and equipment and the range of the interest rates for such capitalisation: None.
- B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 15~36 years and 5~25 years, respectively.
- C. The Group has recognised impairment losses in the year of occurrence due to the fact that the recoverable amount of certain property, plant and equipment used for the production of certain products, as part of a product transformation plan, is lower than their carrying amount.
- D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

(9) Leasing arrangements — lessee

- A. The Group leases various assets including land, buildings, business vehicles, and multifunction printers. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 3 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.
- B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse, office, and business vehicles. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.
- C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount		
	March 31, 2023	December 31, 2022	March 31, 2022
Land	\$ 73,750	\$ 74,689	\$ 72,956
Buildings	57,620	13,456	22,301
Business vehicles	3,899	4,252	4,755
	<u>\$ 135,269</u>	<u>\$ 92,397</u>	<u>\$ 100,012</u>

	Depreciation charge	
	Three months ended March 31,	
	2023	2022
Land	\$ 439	\$ 416
Buildings	6,586	6,740
Business vehicles	353	307
	<u>\$ 7,378</u>	<u>\$ 7,463</u>

- D. For the three months ended March 31, 2023 and 2022, the additions to right-of-use assets were \$44,436 and \$733, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Three months ended March 31,	
	2023	2022
<u>Items affecting profit or loss</u>		
Interest expense on lease liabilities	\$ 320	\$ 330
Expense on short-term lease contracts	2,397	2,395
Expense on leases of low-value assets	12	16
Expense on variable lease payments	94	15
Gain on lease modification	-	211

F. For the three months ended March 31, 2023 and 2022, the Group's total cash outflow for leases were \$6,651 and \$9,686, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognised in profit or loss in the period in which the event or condition that triggers those payments occurs.

(10) Short-term borrowings

<u>Type of borrowings</u>	<u>March 31, 2023</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>40,000</u>	1.65%~2.17%	None
<u>Type of borrowings</u>	<u>December 31, 2022</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Unsecured borrowings	\$ <u>55,000</u>	1.55%	None
<u>Type of borrowings</u>	<u>March 31, 2022</u>	<u>Interest rate range</u>	<u>Collateral</u>
Bank borrowings			
Secured borrowings	\$ 20,000	1.20%	Financial assets at amortised cost - current
Unsecured borrowings	<u>160,000</u>	1.16%~1.35%	None
	<u>\$ 180,000</u>		

(11) Accounts payable

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Accounts payable	\$ 390,073	\$ 439,803	\$ 428,891
Estimated accounts payable	<u>55,793</u>	<u>41,206</u>	<u>64,517</u>
	<u>\$ 445,866</u>	<u>\$ 481,009</u>	<u>\$ 493,408</u>

(12) Other payables

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Insurance payable	\$ 70,824	\$ 72,751	\$ 76,551
Salaries and bonus payable	\$ 60,716	\$ 92,264	\$ 65,354
Mold cost payable	21,485	33,524	29,733
Equipment payable	7,973	8,308	21,057
Repairs and maintenance payable	5,258	7,867	13,008
Packing payable	4,287	6,960	9,123
Freights charges payable	5,139	5,593	9,706
Consumption fee payable	3,175	3,309	5,593
Interest payable	211	211	225
Construction payable	8,823	-	698
Employees' compensation and directors' remuneration payable	-	-	25,746
Others	<u>53,524</u>	<u>35,349</u>	<u>44,806</u>
	<u>\$ 241,415</u>	<u>\$ 266,136</u>	<u>\$ 301,600</u>

(13) Long-term borrowings

<u>Borrowing period</u>		<u>Collateral</u>	<u>March 31, 2023</u>
<u>Type of borrowings</u>	<u>and repayment term</u>		
<u>Installment-repayment borrowings</u>			
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.72%~2.10% Please refer to Note 8	\$ 398,500
Unsecured borrowings	Borrowing period is from July 1, 2020 to March 1, 2028; interest is payable monthly.	1.83%~3.09% None	70,558
			<u>469,058</u>
Less: Current portion			(<u>67,966</u>)
			<u>\$ 401,092</u>

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>December 31, 2023</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from June 24, 2020 to December 28, 2028; interest is payable monthly.	1.60%~2.10%	Please refer to Note 8	\$ 411,000
Unsecured borrowings	Borrowing period is from April 6, 2021 to March 1, 2028; interest is payable monthly.	1.70%	None	58,000
				469,000
Less: Current portion				(61,800)
				\$ 407,200

<u>Type of borrowings</u>	<u>Borrowing period and repayment term</u>	<u>Interest rate range</u>	<u>Collateral</u>	<u>March 31, 2022</u>
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from September 7, 2018 to December 28, 2028; interest is payable monthly.	1.05%~1.22%	Please refer to Note 8	\$ 437,086
Unsecured borrowings	Borrowing period is from April 6, 2021 to March 1, 2028; interest is payable monthly.	1.46%	None	58,000
				495,086
Less: Current portion				(38,586)
				\$ 456,500

(14) Pensions

A. Defined benefit pension plan

- (a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.
- (b) For the aforementioned pension plan, the Group recognised pension costs of (\$35) and (\$13) for the three months ended March 31, 2023 and 2022, respectively.
- (c) The Company has acquired the approval from the Hsinchu County Government to suspend continuous contribution to the defined benefit pension plan for 2023 and 2022.

B. Defined contribution pension plan

- (a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the "New Plan") under the Labor Pension Act (the "Act"), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.
- (b) The Company's mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China (PRC) are based on certain percentage of employees' monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.
- (c) The pension costs under the defined contribution pension plans of the Group for the three months ended March 31, 2023 and 2022 were \$7,435 and \$7,963, respectively.

(15) Share capital

A. As of March 31, 2023, the Company's authorised capital was \$2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was \$892,631 with a par value of \$10 (in dollars) per share. All proceeds from shares issued have been collected.

B. As at March 31, 2023 and 2022, the Company's ordinary shares outstanding are both 89,263 thousand shares.

(16) Capital surplus

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Share premium	\$ 1,612,472	\$ 1,612,472	\$ 1,612,472
From business combinations	31,797	31,797	31,797
Treasury share transactions	76,571	76,571	76,571
Changes in ownership interests in subsidiaries	<u>7,906</u>	<u>7,906</u>	<u>7,906</u>
	<u>\$ 1,728,746</u>	<u>\$ 1,728,746</u>	<u>\$ 1,728,746</u>

Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalised mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

(17) Retained earnings

A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting. The Board of Directors is authorised to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.

- B. The Company's dividend policy is summarised below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.
- C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.
- D. Special reserve
- (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.
- (b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1010012865, dated April 6, 2012, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.
- E. Appropriation of earnings
- (a) The appropriations of 2021 earnings had been resolved at the annual shareholders' meeting on May 27, 2022. Details are summarised below:

	2021	
	Amount	Dividends per share (in dollars)
Legal reserve	\$ 17,764	
Special reserve	38,102	
Cash dividends	107,116	\$ 1.20

(b) The appropriations of 2022 earnings had been proposed at the Board of Directors' meeting on April 11, 2023. Details are summarized below:

2022			
	Amount		Amount
Special reserve	(\$ 60,457)		
Cash dividends	26,779	\$	0.30

The proposal for the distribution of earnings for the year 2022, as mentioned above, has been resolved by the Board of Directors. Cash dividends only require reporting at the shareholders' meeting. As of May 11, 2023, other forms of earnings distribution have not yet been resolved by the shareholders' meeting.

(18) Other equity items

2023			
	Unrealised gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 28,200)	(\$ 334,636)	(\$ 362,836)
Revaluation	7,906	-	7,906
Disposal of financial assets at fair value through other comprehensive income (loss)			
– equity instruments	20,294	-	20,294
Currency translation differences:			
–Group	-	7,422	7,422
At March 31	\$ -	(\$ 327,214)	(\$ 327,214)

2022			
	Unrealised gains (losses) on valuation	Currency translation	Total
At January 1	(\$ 28,200)	(\$ 395,093)	(\$ 423,293)
Revaluation-gross	-	-	-
Currency translation differences:			
–Group	-	97,115	97,115
At March 31	(\$ 28,200)	(\$ 297,978)	(\$ 326,178)

(19) Operating revenue

	Three months ended March 31,	
	2023	2022
Revenue from contracts with customers	\$ 696,557	\$ 826,223

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Three months ended March 31, 2023	Domestic	Asia	Total
Total segment revenue	\$ 252,115	\$ 449,666	\$ 701,781
Inter-segment revenue	(2,111)	(3,113)	(5,224)
Revenue from external customer contracts	\$ 250,004	\$ 446,553	\$ 696,557

Three months ended March 31, 2022	Domestic	Asia	Total
Total segment revenue	\$ 273,995	\$ 556,159	\$ 830,154
Inter-segment revenue	(1,436)	(2,495)	(3,931)
Revenue from external customer contracts	\$ 272,559	\$ 553,664	\$ 826,223

B. Contract liabilities

(a) The Group has recognised the following revenue-related contract liabilities:

	March 31, 2023	December 31, 2022	March 31, 2022	January 1, 2022
Contract liabilities:	\$ 234	\$ 3,187	\$ 6,676	\$ 502

(b) Revenue recognised that was included in the contract liability balance at the beginning of the year is summarised below:

	Three months ended March 31,	
	2023	2022
Revenue recognised	\$ 187	\$ 279

(20) Interest income

	Three months ended March 31,	
	2023	2022
Interest income from bank deposits	\$ 7,137	\$ 3,963
Interest income from financial assets at amortised cost	316	1,470
Other interest income	17	51
	\$ 7,470	\$ 5,484

(21) Other income

	Three months ended March 31,	
	2023	2022
Subsidy income	\$ 547	\$ 298
Solar revenue	436	383
Other income	1,266	1,025
	<u>\$ 2,249</u>	<u>\$ 1,706</u>

(22) Other gains and losses

	Three months ended March 31,	
	2023	2022
Gain on disposal of property, plant and equipment	\$ 3,848	\$ -
Gain on disposal of associates accounted for under equity method	3,542	-
Gain on lease modification	-	211
Foreign exchange losses	(11,038)	(1,250)
Gain on financial assets and liabilities at fair value through profit or loss	4,256	4,903
Miscellaneous disbursements	(61)	(4,047)
	<u>\$ 547</u>	<u>(\$ 183)</u>

(23) Finance costs

	Three months ended March 31,	
	2023	2022
Interest expense from bank borrowings	\$ 2,286	\$ 2,205
Interest expense from lease liabilities	320	330
	<u>\$ 2,606</u>	<u>\$ 2,535</u>

(24) Expenses by nature

	Three months ended March 31,	
	2023	2022
Employee benefit expense	\$ 168,013	\$ 190,572
Depreciation charges on property, plant and equipment	30,520	30,521
Depreciation charges on right-of-use assets	7,378	7,463
Amortisation charges on molds	2,579	3,203

(25) Employee benefit expense

	Three months ended March 31,	
	2023	2022
Wages and salaries	\$ 140,056	\$ 161,659
Labour and health insurance fees	11,228	11,817
Pension costs	7,400	7,950
Other personnel expenses	9,329	9,146
	<u>\$ 168,013</u>	<u>\$ 190,572</u>

- A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees' compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.
- B. For the three months ended March 31, 2023 and 2022, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period. Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(26) Income tax

A. Components of income tax expense

	Three months ended March 31,	
	2023	2022
Current tax:		
Current tax for the period	\$ 8,202	\$ 10,067
Prior year income tax under estimation	(388)	(385)
Total current tax	<u>8,590</u>	<u>9,682</u>
Deferred tax:		
Origination and reversal of temporary differences	<u>17,056</u>	<u>2,171</u>
Income tax expense	<u>\$ 25,646</u>	<u>\$ 11,853</u>

- B. The Company's income tax returns through 2020 have been assessed and approved by the Tax Authority.
- C. LEGIUN's income tax returns through 2021 have been assessed and approved by the Tax Authority.

(27) (Loss) earnings per share

<u>Three months ended March 31, 2023</u>			
	<u>Loss for</u>	<u>Weighted average</u>	<u>Loss per share</u>
	<u>the period</u>	<u>number of ordinary</u>	<u>(in dollars)</u>
		<u>shares outstanding</u>	
		<u>(shares in thousands)</u>	
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 11,859)	89,263	(\$ 0.13)

<u>Three months ended March 31, 2022</u>			
	<u>Loss for</u>	<u>Weighted average</u>	<u>Loss per share</u>
	<u>the period</u>	<u>number of ordinary</u>	<u>(in dollars)</u>
		<u>shares outstanding</u>	
		<u>(shares in thousands)</u>	
<u>Basic and diluted loss per share</u>			
Loss attributable to the parent	(\$ 39,386)	89,263	(\$ 0.44)

(28) Business Combination

- A. During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of \$59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. The eBio International Group operates medical businesses in Taiwan, including a pressure ulcer prevention system. The company expects that this acquisition will enhance its position in these markets and lead to cost reduction through economies of scale.

- B. The information regarding the consideration paid for the acquisition of eBio International Group, the assets acquired, and the liabilities assumed at the fair value as of the acquisition date, as well as the information on non-controlling interests' share in the identifiable net assets as of the acquisition date, is as follows:

	<u>March 20, 2023</u>
The consideration received	
Cash	\$ 25,850
The fair value of the equity previously held in eBio International on the acquisition date	43,791
The non-controlling interest's proportion of the identifiable net assets of the acquiree	<u>13,459</u>
	<u>\$ 83,100</u>
The fair value of identifiable assets acquired and liabilities assumed	
Cash and cash equivalents	27,643
Notes and accounts receivable, net	67
Other receivables	27
Inventories	3,023
Prepayments	3,475
Prepaid expenses and temporary payments	692
Residual tax credit	1,690
Property, plant and equipment	5,260
Intangible assets	105
Guarantee deposits paid	309
Accounts payable	(12)
Accrued payroll	(739)
Other accrued expenses payable	(865)
Other current liabilities	(66)
Long-term borrowings(including current portion)	(<u>12,558</u>)
Identifiable net assets	<u>28,051</u>
Goodwill	<u>\$ 55,049</u>

- C. The fair value of the identifiable assets and liabilities acquired is provisionally determined as stated above. The net assets are subject to retrospective adjustment upon obtaining the valuation report.
- D. The Company held a 9.81% equity interest in eBio International Co., Ltd. prior to the business combination, which was remeasured at fair value resulting in a realized gain of \$3,542, please refer to note 6(7) for details.

E. Since the merger with eBio International Co., Ltd. on March 20, 2023, the Group has not generated any operating revenue or pre-tax net income from eBio International. However, if we assume that eBio International had been included in the consolidation since January 1, 2023, the Group's operating revenue and pre-tax net income would have amounted to \$696,557 and \$5,388, respectively.

(29) Supplemental cash flow information

A. Investing activities with partial cash payments:

	<u>Three months ended March 31,</u>	
	<u>2023</u>	<u>2022</u>
Purchase of property, plant and equipment	\$ 36,665	\$ 48,782
Add: Opening balance of payable on equipment	8,308	6,426
Opening balance of payable on construction	-	643
Less: Ending balance of payable on equipment	(7,973)	(21,057)
Ending balance of payable on construction	(8,823)	(698)
Cash paid during the year	<u>\$ 28,177</u>	<u>\$ 34,096</u>

(30) Changes in liabilities from financing activities

	<u>2023</u>				
	Short-term	Long-term	Lease	Guarantee	
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	<u>Total</u>
At January 1	\$ 55,000	\$ 469,000	\$ 10,088	\$ 905	\$ 534,993
Changes in cash flow from financing activities	(15,000)	(12,500)	(4,148)	-	(31,648)
Changes in other non-cash items	-	-	44,756	-	44,756
Acquisition of business combination	-	12,558	6,484	-	19,042
Impact of changes in foreign exchange rate	-	-	28	-	28
At March 31	<u>\$ 40,000</u>	<u>\$ 469,058</u>	<u>\$ 57,208</u>	<u>\$ 905</u>	<u>\$ 567,171</u>

	<u>2022</u>				
	Short-term	Long-term	Lease	Guarantee	
	<u>borrowings</u>	<u>borrowings</u>	<u>liabilities</u>	<u>deposit</u>	<u>Total</u>
At January 1	\$ 295,000	\$ 509,371	\$ 40,564	\$ 902	\$ 845,837
Changes in cash flow from financing activities	(115,000)	(14,285)	(7,260)	-	(136,545)
Changes in other non-cash items	-	-	(11,143)	5	(11,138)
At March 31	<u>\$ 180,000</u>	<u>\$ 495,086</u>	<u>\$ 22,161</u>	<u>\$ 907</u>	<u>\$ 698,154</u>

7. Related Party Transactions

(1) Names of related parties and relationship

<u>Names of related parties</u>	<u>Relationship with the Group</u>
eBio Technology Inc.(Note)	Other related party
Shin Zu Shing Co., Ltd.	Other related party

Note : The consolidated entity included in the Group since March 20, 2023.

(2) Significant related party transactions

A. Operating revenue:

	<u>Three months ended March 31,</u>	
	<u>2023</u>	<u>2022</u>
Sales of goods:		
Other related parties	\$ <u> -</u>	\$ <u> 630</u>

There is no significant difference between the sales price and credit terms from non-related parties.

B. Receivables from related parties:

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Accounts receivable:			
Other related parties	\$ <u> -</u>	\$ <u> -</u>	\$ <u> 2,401</u>

C. Acquisition of financial assets

During March 2023, the Company participated in the cash increase of eBio International Co., Ltd.
Please refer to Note 6(28) for further details

D. Lease transactions-lessee

(a) The Company leases a property from related parties, with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to \$44,436.

(b) Right-of-use assets

A. Carrying amount

	<u>March 31, 2023</u>
Other related parties	\$ <u> 40,733</u>

B. Depreciation charge

	<u>Three months ended</u>
	<u>March 31, 2023</u>
Other related parties	\$ <u> 3,703</u>

(c) Lease liabilities

A. Carrying amount

	<u>March 31, 2023</u>
Other related parties	<u>\$ 40,805</u>

B. Depreciation charge

	<u>Three months ended</u>
	<u>March 31, 2023</u>
Other related parties	<u>\$ 156</u>

E. Payables to related parties

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Other payable:			
Other related parties	<u>\$ 138</u>	<u>\$ 270</u>	<u>\$ -</u>

F. Contract liabilities

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Other related parties	<u>\$ -</u>	<u>\$ 3,000</u>	<u>\$ -</u>

The contract liabilities to other related parties represents unearned sales revenue.

(3) Key management compensation

	<u>Three months ended March 31,</u>	
	<u>2023</u>	<u>2022</u>
Short-term employee benefits	<u>\$ 4,643</u>	<u>\$ 4,588</u>
Post-employment benefits	<u>144</u>	<u>144</u>
	<u>\$ 4,787</u>	<u>\$ 4,732</u>

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

<u>Pledged asset</u>	<u>Book value</u>			<u>Purpose</u>
	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>	
Financial assets at amortised cost - current	\$ 2,216	\$ 1,764	\$ 12,705	Bank secured borrowings and customs guarantee
Financial assets at amortised cost - non-current	400	403	384	Contract bond
Property, plant, and equipment				
Land	273,059	273,059	273,059	Bank secured borrowings
Buildings and structures	154,381	157,453	169,524	Bank secured borrowings
Machinery and equipment	-	-	70,235	Bank secured borrowings
Other non-current assets				
Guarantee deposits paid	7,488	7,816	9,761	Rental deposit

9. Significant Contingent Liabilities and Unrecognised Contract Commitments

Commitments

As of March 31, 2023, the Group had opened unused letters of credit for importing inventories and equipment of \$29,266.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

(1) On April 11, 2023, the Board of Directors of the Company resolved to cease conducting private placements of ordinary shares or private placements of domestic or overseas convertible corporate bonds.

(2) On April 11, 2023, the Board of Directors of the Company proposed the appropriation of earnings for the fiscal year 2022, please refer to Note 6(17) for details.

12. Others

(1) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity attributable to owners of the Group (comprising issued capital, reserves, retained earnings and other equity). The Group is not subject to any externally imposed capital requirements.

(2) Financial instruments

A. Financial instruments by category

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
<u>Financial assets</u>			
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	\$ 16,561	\$ 14,935	\$ 7,331
Financial assets at fair value through other comprehensive income	3,045	3,071	2,862
Financial assets at amortised cost			
Cash and cash equivalents	1,679,297	1,711,918	1,644,291
Financial assets at amortised cost (current and non-current)	2,616	54,191	177,873
Notes receivable, net	29,139	29,661	15,872
Accounts receivable, net	966,680	1,004,102	1,166,290
Accounts receivable-related party	-	-	2,401
Other receivables	118,643	117,267	134,588
Guarantee deposits paid	7,488	7,816	9,761
	<u>\$ 2,823,469</u>	<u>\$ 2,942,961</u>	<u>\$ 3,161,269</u>
	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
<u>Financial liabilities</u>			
Financial liabilities mandatorily measured at fair value through profit or loss	\$ 919	\$ 5,447	\$ -
Financial liabilities at amortised cost			
Short-term borrowings	40,000	55,000	180,000
Notes payable	50	-	2,992
Accounts payable	445,866	481,009	493,408
Accounts payable-related party	-	14	-
Other payables	241,415	266,136	301,600
Other payables-related party	138	270	-
Long-term borrowings (including current portion)	469,058	469,000	495,086
Guarantee deposits received	905	905	907
	<u>\$ 1,198,351</u>	<u>\$ 1,277,781</u>	<u>\$ 1,473,993</u>
Lease liabilities (current and non-current)	<u>\$ 57,208</u>	<u>\$ 10,088</u>	<u>\$ 22,161</u>

B. Financial risk management policies

There was no significant transaction and change in the reporting period. Please refer to Note 12 in the consolidated financial statements for the year ended December 31, 2022

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

- i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.
- ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

March 31, 2023			
(Foreign currency: functional currency)	Foreign currency amount	Exchange rate	Book value
	(In thousands)		(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 4,295	30.4500	\$ 130,783
USD:RMB	12,560	6.8717	382,452
USD:VND	353	23,600	10,749
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 506	30,4500	\$ 15,408
USD:RMB	1,785	6.8717	54,353
USD:VND	98	23,600	2,984
December 31, 2022			
(Foreign currency: functional currency)	Foreign currency amount	Exchange rate	Book value
	(In thousands)		(NTD)
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 8,815	30.7100	\$ 270,709
USD:RMB	14,930	6.9646	458,500

USD:VND	894	23,612	27,455
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 410	30.7100	\$ 12,591
USD:RMB	2,783	6.9646	85,466
USD:VND	159	23,612	4,883
March 31, 2022			
(Foreign currency: functional currency)	Foreign currency amount		Book value
	<u>(In thousands)</u>	<u>Exchange rate</u>	<u>(NTD)</u>
		<u>Exchange rate</u>	<u>(NTD)</u>
<u>Financial assets</u>			
<u>Monetary items</u>			
USD:NTD	\$ 3,848	28.6250	\$ 110,149
USD:RMB	22,250	6.3482	636,906
USD:VND	1,375	23,100	39,359
<u>Financial liabilities</u>			
<u>Monetary items</u>			
USD:NTD	\$ 622	28.6250	\$ 17,805
USD:RMB	3,807	6.3482	108,975

- iii. Total exchange gains (losses), including realised and unrealised, arising from significant foreign exchange variation on the monetary items held by the Group for the three months ended March 31, 2023 and 2022, amounted to (\$11,038) and (\$1,250), respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

Three months ended March 31, 2023				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 1,308	\$ -	-
USD:RMB	1%	3,825		-
USD:VND	1%	107		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 154	\$ -	-
USD:RMB	1%	544		-
USD:VND	1%	30		-

Three months ended March 31, 2022				
Sensitivity analysis				
	Degree of variation	Effect on profit or loss	Effect on other comprehensive income	
(Foreign currency: functional currency)				
<u>Financial assets</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 1,101	\$ -	-
USD:RMB	1%	6,369		-
USD:VND	1%	394		-
<u>Financial liabilities</u>				
<u>Monetary items</u>				
USD:NTD	1%	\$ 178	\$ -	-
USD:RMB	1%	1,090		-

Cash flow and fair value interest rate risk

- i. The Group's main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. For the three months ended March 31, 2023 and 2022, the Group's borrowings at variable rate were mainly denominated in

New Taiwan dollars.

- ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the three months ended March 31, 2023 and 2022 would have increased/decreased by \$ 3,752 and \$ 3,961, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

- i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:
 - (i) The carrying amount of the respective recognised financial assets as stated in the balance sheets;
 - (ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.
- ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.
- iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.
- iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.
- v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

- vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.
- vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On March 31, 2023, December 31, 2022 and March 31, 2022, the provision matrix is as follows:

<u>March 31, 2023</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%~1%	\$ 929,778	\$ 13
Up to 90 days	0%~1%	36,930	15
Over 91 days	100%	<u>1,985</u>	<u>1,985</u>
		<u>\$ 968,693</u>	<u>\$ 2,013</u>

<u>December 31, 2022</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 965,267	\$ -
Up to 90 days	0%	38,835	-
Over 91 days	100%	<u>1,573</u>	<u>1,573</u>
		<u>\$ 1,005,675</u>	<u>\$ 1,573</u>

<u>March 31, 2022</u>	<u>Expected loss rate</u>	<u>Total book value</u>	<u>Loss allowance</u>
Not past due	0%	\$ 1,150,749	\$ -
Up to 90 days	0%	<u>15,541</u>	<u>-</u>
		<u>\$ 1,166,290</u>	<u>\$ -</u>

- viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	<u>2023</u>	<u>2022</u>
At January 1	\$ 1,573	\$ 74
Provision for impairment	433	-
Reversal of impairment loss	-	(75)
Effect of foreign rate exchange	<u>7</u>	<u>1</u>
At March 31	<u>\$ 2,013</u>	<u>\$ -</u>

(c) Liquidity risk

- i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group's Corporate Treasury function. The Group's Corporate Treasury function monitors rolling forecasts of the Group's liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group's debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.
- ii. The Group has the following undrawn borrowing facilities:

	<u>March 31, 2023</u>	<u>December 31, 2022</u>	<u>March 31, 2022</u>
Floating rate:			
Expiring within one year	\$ 2,225,565	\$ 2,134,373	\$ 2,134,311
Expiring beyond one year	-	-	-
Fixed rate:			
Expiring within one year	\$ -	\$ -	\$ -
Expiring beyond one year	-	-	-

- iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>March 31, 2023</u>				
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 40,065	\$ -	\$ -	\$ -
Notes payable	50	-	-	-
Accounts payable	445,866	-	-	-
Other payables	241,415	-	-	-
Other payables-related parties	138	-	-	-
Lease liabilities	22,443	20,192	16,110	-
Long-term borrowings (including current portion)	69,549	174,539	206,602	41,212
Guarantee deposits received	905	-	-	-

<u>December 31, 2022</u>	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 55,077	\$ -	\$ -	\$ -
Accounts payable	481,009	-	-	-
Accounts payable-related parties	14	-	-	-
Other payables	266,136	-	-	-
Other payables-related parties	270	-	-	-
Lease liabilities	5,537	4,777	1,832	-
Long-term borrowings (including current portion)	69,915	169,022	206,019	61,398
Guarantee deposits received	905	-	-	-
<u>March 31, 2022</u>	<u>Less than 1 year</u>	<u>Between 1 and 2 years</u>	<u>Between 2 and 5 years</u>	<u>Over 5 years</u>
<u>Non-derivative financial liabilities</u>				
Short-term borrowings	\$ 180,421	\$ -	\$ -	\$ -
Notes payable	2,992	-	-	-
Accounts payable	493,408	-	-	-
Other payables	301,600	-	-	-
Lease liabilities	8,212	10,249	4,542	-
Long-term borrowings (including current portion)	44,156	67,294	300,224	113,129
Guarantee deposits received	907	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

- B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, accounts receivable, accounts receivable-related parties, other receivables, guarantee deposits paid, short-term borrowings, notes payable, accounts payable, other payables, lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.
- C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:
- (a) The related information on the nature of the assets and liabilities is as follows:

<u>March 31, 2023</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 3,138	\$ -	\$ 3,138
Private equity fund	-	-	13,423	13,423
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,045	3,045
	<u>\$ -</u>	<u>\$ 3,138</u>	<u>\$ 16,468</u>	<u>\$ 19,606</u>

Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 919</u>	<u>\$ -</u>	<u>\$ 919</u>

<u>December 31, 2022</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
<u>Recurring fair value measurements</u>				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 2,475	\$ -	\$ 2,475
Private equity fund	-	-	12,460	12,460
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,071	3,071
	<u>\$ -</u>	<u>\$ 2,475</u>	<u>\$ 15,531</u>	<u>\$ 18,006</u>

Liabilities				
<u>Recurring fair value measurements</u>				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	<u>\$ -</u>	<u>\$ 5,447</u>	<u>\$ -</u>	<u>\$ 5,447</u>

<u>March 31, 2022</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>	<u>Total</u>
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	\$ -	\$ 7,331	\$ -	\$ 7,331
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	2,862	2,862
	\$ -	\$ 7,331	\$ 2,862	\$ 10,193

(b) The methods and assumptions the Group used to measure fair value are as follows:

- i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.
- ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.
- iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.
- iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group's financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group's management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

- D. For the three months ended March 31, 2023 and 2022, there was no transfer between Level 1 and Level 2.
- E. The following chart is the movement of Level 3 for the three months ended March 31, 2023 and 2022:

	Equity instrument	
	2023	2022
At January 1	\$ 15,531	\$ 14,468
Recognised in other comprehensive income	7,906	-
Recognised in profit or loss	963	-
Disposal during the period	(7,906)	-
Transfers out from level 3	-	(11,700)
Effect of exchange rate changes	(26)	94
At March 31	<u>\$ 16,468</u>	<u>\$ 2,862</u>

- F. Information relating to transfer out amounting to \$0 and \$11,700 from Level 3 for the three months ended March 31, 2023 and 2022 is provided in Note 6(7).
- G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	<u>March 31, 2023</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,045	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	13,423	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.
	<u>December 31,2022</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 3,071	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	12,460	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	<u>March 31, 2022</u>	<u>Valuation technique</u>	<u>Significant unobservable input</u>	<u>Range (weighted average)</u>	<u>Relationship of inputs to fair value</u>
Non-derivative equity instrument:					
Unlisted shares	\$ 2,862	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

- A. Loans to others: Refer to table 1.
- B. Provision of endorsements and guarantees to others: None.
- C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 2.
- D. Acquisition or sale of the same security with the accumulated cost exceeding \$300 million or 20% of the Company's paid-in capital: None.
- E. Acquisition of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- F. Disposal of real estate reaching \$300 million or 20% of paid-in capital or more: None.
- G. Purchases or sales of goods from or to related parties reaching \$100 million or 20% of paid-in capital or more: None.
- H. Receivables from related parties reaching \$100 million or 20% of paid-in capital or more: None.
- I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(22) and 12(2).
- J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 3.

(3) Information on investments in Mainland China

- A. Basic information: Refer to table 4.
- B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 5.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

<u>Three months ended March 31, 2023</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 250,004	\$ 446,553	\$ 696,557
Inter-segment revenue (Note)	2,111	3,113	5,224
Total segment revenue	<u>\$ 252,115</u>	<u>\$ 449,666</u>	<u>\$ 701,781</u>
Segment (loss) income	(<u>\$ 58,650</u>)	<u>\$ 63,936</u>	<u>\$ 5,286</u>

<u>Three months ended March 31, 2022</u>	<u>Domestic</u>	<u>Asia</u>	<u>Total</u>
Revenue from external customers	\$ 272,559	\$ 53,664	\$ 826,223
Inter-segment revenue (Note)	1,436	2,495	3,931
Total segment revenue	<u>\$ 273,995</u>	<u>\$ 556,159</u>	<u>\$ 830,154</u>
Segment (loss) income	(<u>\$ 54,541</u>)	<u>\$ 19,675</u>	(<u>\$ 34,866</u>)

Note: Sales between segments are carried out at arm's length.

(3) Reconciliation for segment income (loss)

A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the three months ended March 31, 2023 and 2022 is provided as follows:

	<u>Three months ended March 31,</u>	
	<u>2023</u>	<u>2022</u>
Reportable segments gain (loss)	\$ 5,286	(\$ 34,866)
Total non-operating income and expenses	<u>5,903</u>	<u>4,287</u>
Gain (loss) income before tax from continuing operations	<u>\$ 11,189</u>	(<u>\$ 30,579</u>)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Three months ended March 31, 2023

Table 1

Expressed in thousands of NTD
(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum outstanding balance during the year ended	Balance at December 31, 2022	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral		Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
					December 31, 2022	(Note 2)							Item	Value			
0	The Company	eBio International	Other receivables - related parties	Yes	\$ 5,000	\$ 5,000	\$ -	2.60%	Short-term financing	\$ -	Operational need	-	Promissory Note	\$ 5,000	\$ 559,285	\$ 1,118,570	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES								
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)								
March 31, 2023								
				Expressed in thousands of NTD / foreign currency / shares (Except as otherwise indicated)				
				As of March 31, 2023				
Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	Number of shares	Book value	Ownership	Fair value	Footnote
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current		\$ 13,423	3%	\$ 13,423	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,045	-	3,045	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	914	-	914	USD 30

Table 3

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES												
Information on investees												
Three months ended March 31, 2023												
Expressed in thousands of NTD / shares (Except as otherwise indicated)												
Investor	Investee	Location	Main business activities	Initial investment amount		Shares held as at March 31, 2023			Net profit (loss) of the investee for the year ended March 31, 2023	Investment income (loss) recognised by the Company for the year ended March 31, 2023	Footnote	
				Balance as at March 31, 2023	Balance as at March 31, 2022	Number of shares	Ownership					
							(%)	Book value				
The Company	JOCHU BVI	British Virgin Islands	Investment holding	\$ 957,549	\$ 957,549	30,565	100%	\$ 2,375,955	\$ 55,210	\$ 56,006		
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	46,173 (	2,002) (	2,040)		
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	71,114	11,700	6,331	52.02%	69,641 (	5,801) (	1,757)		
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	637,856	21,507	21,507		
JOCHU BVI	PIH	Singapore	Investment holding	286,858	286,858	9,848	65%	267,781 (	7,423) (	4,825)		
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	637,856	21,507	21,507		
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	437,133	437,133	Not applicable	100%	409,617 (	7,267) (	7,267)		

Table 3

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Information on investments in Mainland China

Three months ended March 31, 2023

Table 4

Expressed in thousands of NTD / foreign currency

(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2023	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the three months ended March 31, 2023		Accumulated amount of remittance from Taiwan to Mainland China as of March 31, 2023	Net income of investee for the three months ended March 31, 2023	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the three months ended March 31, 2023 (Note 2)	Book value of investments in Mainland China as of March 31, 2023	Accumulated amount of investment income remitted back to Taiwan as of March 31, 2023	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	\$ 569,170	Note 1(2)A	\$ 367,541	\$ -	\$ -	\$ 367,541	\$ 38,414	100%	\$ 38,414	\$ 1,453,301	\$ 1,160,412	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)B	328,912	-	-	328,912	32,259	100%	32,259	956,727	324,186	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of March 31, 2023	Upper Limit on the Amount of Investments	
		Investment Amount Authorised by the Investment Commission, MOEA	Stipulated by the Investment Commission, MOEA (Note 3)
The Company	\$ 696,453 (USD21,500)	\$ 862,275 (USD28,801)	\$ 1,677,855

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:

- Directly invest in a company in Mainland China.
- Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
 - Invested through Jochu Investment Ltd.
 - Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
- Others

Note 2: In the ‘Investment income (loss) recognised by the Company for the year ended December 31, 2022’ column:

- It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
- Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
 - The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
 - The financial statements were audited by R.O.C. parent company’s CPA.
 - Others.

Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009, the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information
March 31, 2023

Table 5

Name of major shareholders	Shares		
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	Ownership (%)
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%
China Development Capital Co., L td.	4,645,720	-	5.20%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter.
The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%)= Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).